

ICMAI
THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA
भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

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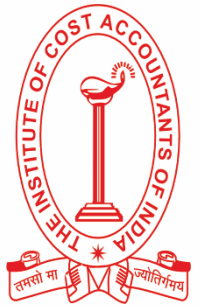
Exempted Income

Governed by the principles of Sections 11 and 12, subject to fulfilling specific underlying conditions.

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Framework of Tax-Exempt Incomes



Statutory Basis

Sec. 11 and 12 specify that income enumerated under the designated schedules shall not be included in the total income for a tax year, subject to conditions.



Schedule II | General Exclusions

Applies to exemptions from total income, covering items like agricultural earnings and life insurance receipts.



Schedule III | Eligible Persons

Governs specific exclusions granted to particular individuals and entities, including HUF members and partners.



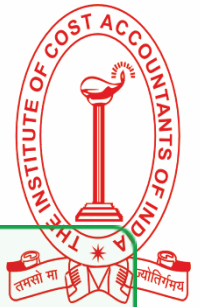
Schedule IV | Non-Residents

Details incomes not to be included for eligible non-residents, foreign enterprises, and maritime professionals.

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Specialized & Institutional Schedules



Schedule V | Funds & Trusts

Encompasses income exclusions tailored for investment funds, business trusts, REITs, and their corresponding unit holders.



Schedule VI | IFSC Operations

Contains provisions for income accrued, arisen to, or received by eligible persons operating inside an IFSC.



Schedule VII | Exempt Persons

Institutional bodies, statutory boards, and universities exempt from paying tax.

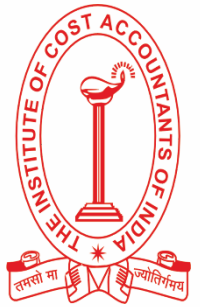


Schedule VIII | Electoral Entities

Regulates non-taxable voluntary contributions, house property income, and capital gains for political parties.

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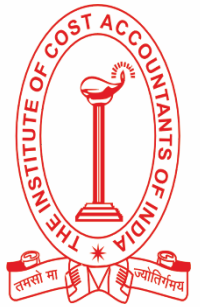
Schedule II

Tax Exemptions

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Agricultural Income & Life Insurance



Agricultural Income

Table Sl. No. 1

Entirely excluded from the total income calculation.

However, in some cases, for the purpose of computing tax liability, integrated method is required to be followed



Life Insurance Policy

Table Sl. No. 2

Any sum received, including bonus allocations, subject to certain restriction on yearly premium, qualifies for exclusion.



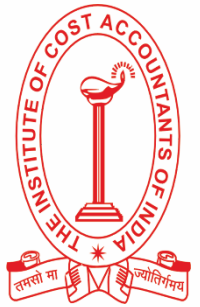
Death Benefit

Table Sl. No. 2

Any sum received on the death of a person is fully exempt regardless of premium ratio limitations.

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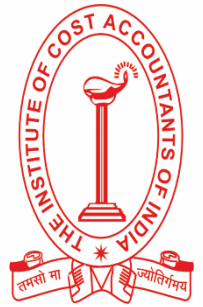


Impact of Agricultural Income on Tax Computation

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The Underlying Logic



Why Integrate?

The primary method to enforce a higher tax-slab rate on non-agro earnings is by factoring the agro income into the taxpayer's aggregate income.

Refer to this specific statutory process as the **Partial Integration of Agricultural Income**.



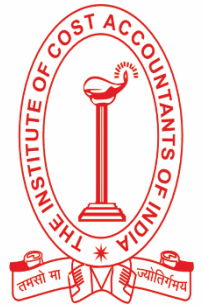
The Tax Impact

While the agro income itself stays exempt from direct taxation, its inclusion artificially elevates the taxable non-agro income into a higher tax bracket, promoting vertical tax equity.

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Prerequisites for Integration



All of the following criteria must be satisfied simultaneously to trigger the integration provisions:



Eligible Taxpayer Class

Applicable to natural persons, Hindu Undivided Families, Bodies of Individuals, Associations of Persons, and Artificial Juridical Entities.



Non-Farm Threshold

Earnings must cross the basic non-taxable threshold:

- **₹ 4,00,000:** Default structure.
- **₹ 2,50,000:** Regular individuals (Traditional).
- **₹ 3,00,000:** Senior Citizens.
- **₹ 5,00,000:** Super Senior Citizens.



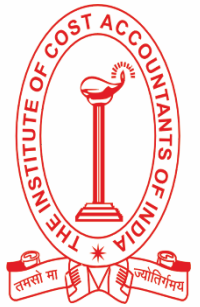
Agro Inome Limit

The net agricultural income must exceed **₹ 5,000** to trigger the integration provisions.

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The Three-Steps Calculation



STATUTORY METHODOLOGY

1

Step 1

Calculate the tax on the aggregate of agro and non-agro income.

2

Step 2

Determine the tax on the sum of the agricultural income plus applicable basic exemption limit.

3

Step 3: Base Tax

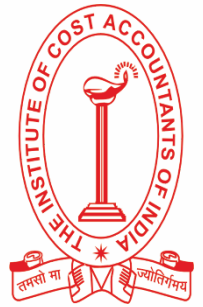
Net Tax Liability =

(Calculated figure from Step 1) –
(Calculated figure from Step 2).

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Case Illustration: Mr. X



Taxpayer Profile

- **Name:** Mr. X
- **Age:** 42 years
- **Commercial/Other Earnings:** ₹ 17,30,000
- **Agro Income:** ₹ 3,10,000
- **Tax Year:** 2026-27



Evaluation Objective

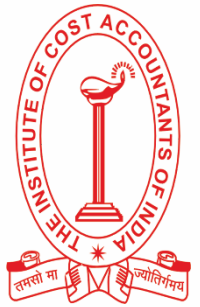
Determine the final tax payout for the specified year.

We will execute a parallel calculation to demonstrate the exact financial difference between the traditional framework and the newer default framework.

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Computation: Default Tax Regime

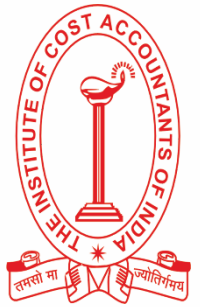


Calculation Steps	Amount (₹)
Step 1: Tax calculated on ₹ 20,40,000 (Combined farm revenue ₹ 3,10,000 + other revenue ₹ 17,30,000)	2,10,000
Less Step 2: Tax calculated on ₹ 7,10,000 (Agro revenue ₹ 3,10,000 + base exemption ₹ 4,00,000)	(15,500)
Net Base Liability	1,94,500
Less: Section 156 Rebate Benefit	Nil
Add: Standard Cess Assessment (4% of ₹ 1,94,500)	7,780
Final Payable Amount	2,02,280

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Computation: Old Tax Regime

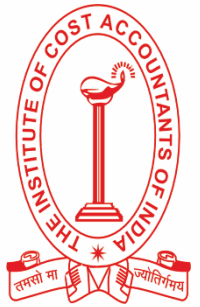


Calculation Steps	Amount (₹)
Step 1: Tax calculated on ₹ 20,40,000 (Combined farm revenue ₹ 3,10,000 + other revenue ₹ 17,30,000)	4,24,500
Less Step 2: Tax calculated on ₹ 5,60,000 (Agro revenue ₹ 3,10,000 + base exemption ₹ 2,50,000)	(24,500)
Net Base Liability	4,00,000
Less: Section 156 Rebate Benefit	Nil
Add: Standard Cess Assessment (4% of ₹ 4,00,000)	16,000
Final Payable Amount	4,16,000

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Life Insurance: Premium Ratio Thresholds



Policy Issue 2003-2012

Table Sl. No. 2 (Sub-Table Sl. No. 1)

Yearly Premium to sum assured ratio must be

$\leq 20\%$



Policy Issue 2012-2013

Table Sl. No. 2 (Sub-Table Sl. No. 2)

Yearly Premium to sum assured ratio must be

$\leq 10\%$



Policy Issue 2013 onwards

Table Sl. No. 2 (Sub-Table Sl. No. 3 & 4)

Yearly Premium limit is:

$\leq 15\%$ for special policies

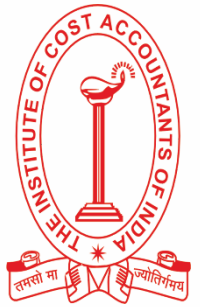
$\leq 10\%$ for other policies

For policy issued on or after 01-04-2023, exemption is denied if the aggregate yearly premium across these policies exceeds ₹ 5,00,000 in any tax year.

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Unit Linked Insurance Policies (ULIPs)



ULIPs Issued Post-Feb 2021

Table Sl. No. 2 (Sub-Table Sl. No. 4 & 5)

Subject to premium ratios and an aggregate premium threshold.



Disallowance Rule

Table Sl. No. 2 (Sub-Table Sl. No. 4 & 5)

Exemption is denied if the aggregate premium for all such policies exceeds ₹ **2,50,000** in any tax year.



IFSC Exemption

Table Sl. No. 2

The ₹ 2,50,000 limit **does NOT** apply to policies issued by the IFSC Insurance Office on or after **1st April 2025**.

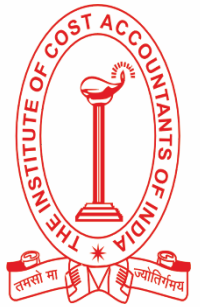
The exemption referred to in Table sl. No. 2 is not available for

- a. Any sum received u/s 127(4); or
- b. Any sum received under a Keyman Insurance Policy

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Provident Fund Contributions & Thresholds



PF & Recognised PF

Table Sl. No. 3 & 4

Payment from the PF Act 1925 and accumulated balances from recognised PFs are exempt.



Interest Taxability

Table Sl. No. 3 & 4

Interest earned on employee contributions exceeding ₹ 2,50,000 (made on or after 1st April 2021) is taxable.



Enhanced Limit

Table Sl. No. 3 & 4

The tax-free threshold expands to ₹ 5,00,000 if the employer makes no contribution to the fund.

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Sukanya Samriddhi & NPS



Sukanya Samriddhi Account

Table Sl. No. 5

Any payment from an account opened under the 2019 Scheme is fully exempt.



NPS Trust Payments

Table Sl. No. 6

Exemptions apply upon the closure of the account or opting out of the pension scheme.



NPS Exemption Limit

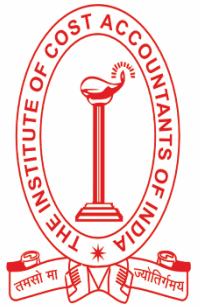
Table Sl. No. 6 (Condition b)

The tax-free portion is capped at **60%** of the total amount payable at closure.

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Agniveer Corpus & Superannuation Funds



Agniveer Corpus Fund

Table Sl. No. 7

Any payment made to a person enrolled under the Agnipath Scheme or their nominee is excluded.



Approved Superannuation Fund

Table Sl. No. 8

Payments made on the death of a beneficiary or upon retirement are tax-free.



Superannuation Refunds

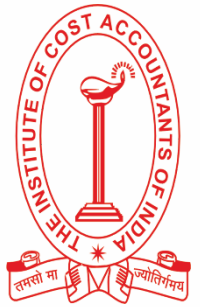
Table Sl. No. 8

Refunds of contributions upon leaving service early are exempt up to the total contribution amount made prior to the Act.

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Educational Scholarships & Govt Rewards



Scholarships

Table Sl. No. 9

Any scholarship granted to meet the cost of education is excluded from total income.



Public Interest Awards

Table Sl. No. 10

Payments for awards instituted in the public interest by the Central or State Governments are exempt.



Government Rewards

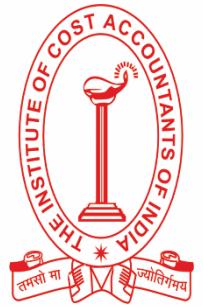
Table Sl. No. 10

Any reward, whether in cash or kind, approved by the Government in the public interest is fully excluded.

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Govt Bonds, Certificates & UTI Assets



Gold Deposit Bonds | Table Sl. No. 12

Interest on Gold Deposit Scheme 1999 and Gold Monetisation Scheme 2015 is fully exempt.



Local Authority Bonds | Table Sl. No. 13

Interest on bonds issued by a local authority or State Pooled Finance Entity.



Savings Certificates | Table Sl. No. 11

Interest and premium on Central Government notified securities, bonds, and deposits.



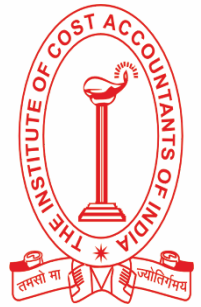
UTI Unit Transfer | Table Sl. No. 14

Capital gains arising from the transfer of Unit Scheme 1964 assets are excluded.

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Unified Pension Scheme (UPS) Exemptions



UPS via NPS Trust | Table Sl. No. 15

Payments received at superannuation, voluntary retirement, or retirement under rule 56(j) of the Central Service Rules are eligible.



UPS Corpus Limit | Table Sl. No. 15 (Condition b)

The exempt payment must not exceed 60% of the Individual corpus as defined by the Department of Financial Services.



UPS Lump Sum | Table Sl. No. 16

Any sum received as a "lump sum amount" from the NPS Trust by an active UPS subscriber is exempt.

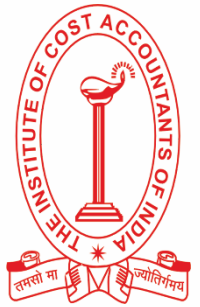


Other Exempt Incomes | Table Sl. No. 17

Any income covered under specific clauses of section 10(15) or (36) of the Income-tax Act 1961 is also excluded.

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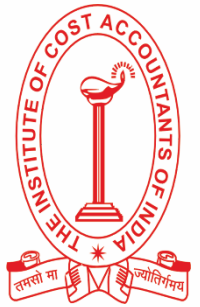
Schedule III

Income of Eligible Persons

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Personal & Family Receipts



HUF Receipts | S.N 1

Any sum received by an individual in their capacity as a member from a Hindu undivided family is exempt.



Partnership Firms | S.N 2

Any sum received by a partner towards his share in the total income of a separately assessed firm is exempt.



Minor Income Clubbed | S.N 17

Income of a minor child clubbed in the total income u/s 99(1)(c) is exempt up to ₹1,500 per child (under old tax regime).



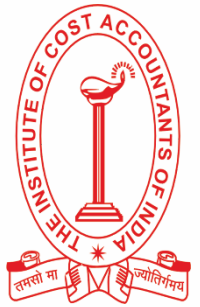
Reverse Mortgage | S.N 35

Any amount received as a loan (lump sum or installment) in a transaction of reverse mortgage by any individual.

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Employment & Retirement Benefits



NPS Withdrawals | S.N 4

Partial withdrawal up to 25% of the employee's contribution from the National Pension System Trust is exempt.



Leave Travel Concession | S.N 8

Leave travel concession or assistance for any individual, subject to specific restrictions under Salary provisions.



Perquisite Tax | S.N 10

Tax on non-monetary perquisites paid directly by an employer is exempt in the hands of the employee.



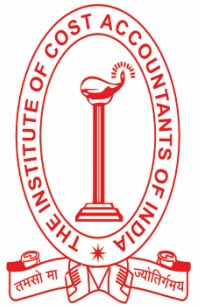
House Rent Allowance | S.N 11

House rent allowance is exempt for any assessee (old tax regime), subject to certain conditions and limit under Salary provisions.

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Government & Official Allowances



Govt Employees Abroad | S.N 9

Any allowances or perquisites paid to a Government employee (a citizen of India) working outside India are fully exempt.



Special Office Allowance | S.N 12

Notified Special allowance to the extent expenses are actually incurred for office purposes (Rule 280). Note that, limited exemption is available if assessee is under old tax regime



Personal Allowance | S.N 13

Notified allowance to meet personal expenses at the place of posting, or to compensate for increased cost of living (Rule 280) Generally exemption is available under old tax regime



International Sporting Event | S.N 33

Income from such notified event to a notified person is exempt.

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Parliamentary & Legislative Allowances



Daily Allowance | S.N 5

Daily allowance received by a Member of Parliament or State Legislature under the old tax regime is excluded.



MP Salary Act | S.N 6

Any allowance received under the Salary, Allowances and Pension of Members of Parliament Act by an MP is exempt under old tax regime.



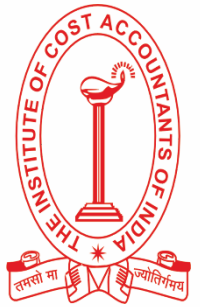
Constituency | S.N 7

Any constituency allowance received by a Member of any State Legislature under the old tax regime is exempt.

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Awards, Defense & Disaster Relief



Gallantry Awards | S.N 14

Pension received by an individual being awardee of "Param Vir Chakra", "Maha Vir Chakra", "Vir Chakra", etc. is exempt.



Family Pension | S.N 15

Family pension received by any member of the family of an individual holding the gallantry awards (referred to in S.N 14)



Armed Forces Families | S.N 16

Family pension received by the widow, children, or nominated heirs of a member of the armed forces.



Disaster Compensation | S.N 3

Any amount received from Central/State Govt or local authority by way of compensation on account of any disaster.

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Disability, Death & Motor Claims



Dependent Gratuity | S.N 38

Gratuity computed as per sec. 19(1) provisions received by a widow, children, or dependants on the death of an employee.



Disability Pensions | S.N 38A

Disability Pension (including service and disability elements) received by a member of the armed/paramilitary forces.



Motor Claims | S.N 38B

Interest on compensation amount awarded by Motor Accident Claims Tribunal to an individual or legal heir.

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Land Acquisition & Pooling



Agricultural Land | S.N 18

Capital gains on compulsory acquisition of urban agricultural land for individuals or HUFs, subject to specific timing conditions.



Land Acquisition | S.N 38C

Compensation for compulsory land acquisition under the Right to Fair Compensation Act, 2013 for Individuals/HUFs.



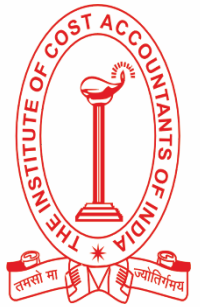
Land Pooling | S.N 38D

Capital gains from transfer of specified assets under the Andhra Pradesh Capital City Land Pooling Scheme.

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Specific Regional & Commodity Incomes



Scheduled Tribes | S.N 19

Income of a member of a Scheduled Tribe accruing from specified areas/States, or by way of dividend/interest.



Sikkimese Income | S.N 20

Income of an individual being a Sikkimese from any source in the State of Sikkim, or via dividend/interest on securities.



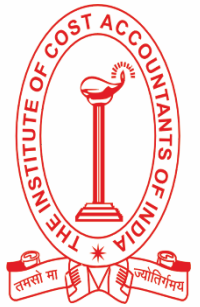
Commodity Subsidies | S.N 21

Subsidy from the concerned Board for an assessee carrying on the business of growing tea, rubber, coffee, or cardamom.

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Authorities & Industry Institutions



Local Authorities | S.N 22

Income under "House property", "Capital gains", "Other sources", or from business for any local authority.



Research Associations | S.N 23

Any income of an approved research association, subject to certain conditions and application of funds.



Khadi Industries | S.N 25

Income attributable to the production, sale, or marketing of khadi or village industry products by eligible public charitable trusts.



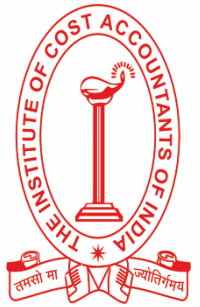
Regulatory Bodies | S.N 36

Specified income of a notified body/Board/Trust regulating activities for the benefit of the general public.

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Approved Professional Institutions



Prof. Institutions | S.N 24

Specific incomes of approved associations established in India to control or regulate major recognized professions.



Applicability

Applicable to professions including law, medicine, accountancy, engineering, architecture, or other notified professions.



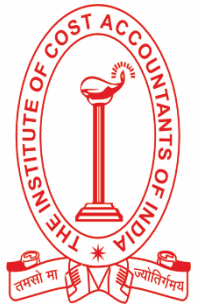
Exclusions

Does NOT apply to income from house property, specific services, or interest/dividends from its investments.

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Investor Protection Funds



Stock Protection Fund | S.N 27

Contributions received from recognised stock exchanges and members by a notified Investor Protection Fund.



Commodity Investor Fund | S.N 28

Contributions received from commodity exchanges and their members by a notified Investor Protection Fund.



Depositories Investor Fund | S.N 29

Contributions received from a depository by any notified Investor Protection Fund set up as per SEBI regulations.

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Financial & Settlement Funds



Securitisation Trusts | S.N 26

Any income generated directly from the activity of securitisation by a securitisation trust.



Core Settlement | S.N 30

Contributions from specified persons to a notified Core Settlement Guarantee Fund set up by a clearing corp.



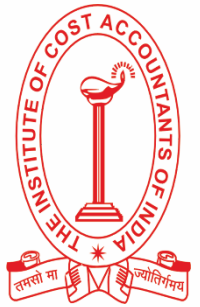
Penalty Income | S.N 30

Also exempts penalty income imposed by the clearing corp and income from the Fund's investments.

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Unions, Provident Funds & Events



Trade Unions | S.N 31

Income chargeable under "House property" and "Other sources" for a registered trade union or association of unions.



Statutory Provident | S.N 32

Any interest on securities, and capital gains on transfer of such securities, for a Statutory Provident Fund.



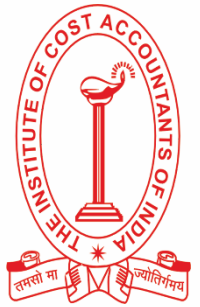
Sporting Events | S.N 34

Income of notified nature arising from international sporting events held in India by an established treaty body.

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Strategic Operations & Legacy



Strategic Petroleum | S.N 37

Income from arrangements for replenishing crude oil stored in facilities by the Indian Strategic Petroleum Reserves Limited.



Legacy Incomes | S.N 39

Any income falling under specific legacy clauses of section 10(15) or (19A) or (40) of the Income-tax Act, 1961.

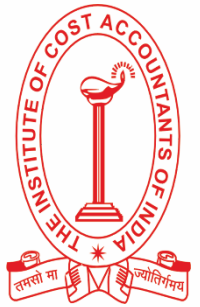


Conclusion

Mastery of these specific exclusions empowers professionals in advanced corporate compliance and strategic tax mitigation.

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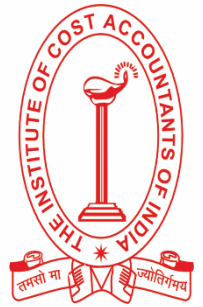
Schedule IV

Non-Resident Exemptions

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Schedule IV: Non-Resident Exemptions



NRE Accounts | S.N 1

Interest from a Non-Resident (External) Account in any bank in India is exempt for individuals resident outside India.



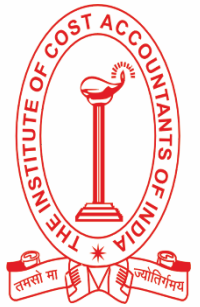
Foreign Diplomats | S.N 2

Remuneration received in India by foreign diplomats is exempt from total income.

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Foreign Employees & Maritime Staff



Foreign Enterprise | S.N 3

Remuneration of foreign enterprise employees (non-citizens) is exempt if their stay in India does not exceed 90 days in the aggregate during the tax year.



Maritime Staff | S.N 4

Salaries for services rendered on a foreign ship are exempt for non-resident foreign citizens whose total stay in India is 90 days or less.



Govt Trainees | S.N 5

Remuneration of foreign Government employees (non-citizens) staying in India for training in Govt/PSU undertakings is exempt.

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Royalties, Tech Services & Offshore Banking



Govt Security | S.N 6

Royalties or fees for technical services under Central Govt agreements for Indian security projects are exempt for notified foreign companies.



NTRO Services | S.N 7

Royalties or fees for tech services rendered from the National Technical Research Organisation are exempt for non-residents or foreign companies.



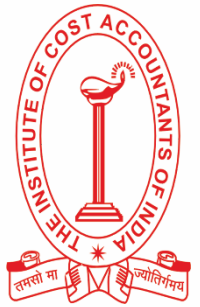
Offshore Banking | S.N 8

Interest received on deposits made on or after 01-04-2005 in an Offshore Banking Unit is exempt for non-residents or RNORs.

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Cruise Ships & European Investments



Cruise Ships | S.N 9

Income from cruise ship lease rentals for foreign companies is exempt up to Tax Year 2028-29.



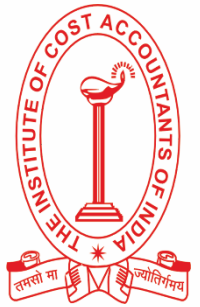
EEC Investments | S.N 10

Any income derived in India via interest, dividends, or capital gains from notified investments by the European Economic Community is excluded.

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Strategic Crude Oil Facilities



Crude Oil Sales | S.N 11

Foreign companies' income in Indian currency from crude oil sales or rendering services under Central Govt agreements is exempt.



Oil Storage | S.N 12

Income from storing crude oil in an Indian facility and selling it to Indian residents is exempt for approved foreign companies.



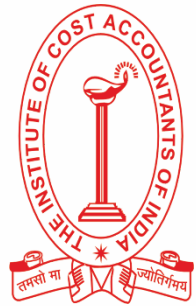
Leftover Stock | S.N 13

Income from selling leftover crude oil stock after agreement expiry or termination is exempt for foreign companies.

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Manufacturing, Data Centres & Notified Schemes



Capital Goods | S.N 13A

Foreign company income from providing capital goods or tooling for Indian electronic contract manufacturer is exempt up to Tax Year 2030-31.



First-Time Visit | S.N 13B

Non-residents visiting India for first time for notified schemes receive a 5-year exemption on specific foreign-accrued income.



Data Centres | S.N 13C

Notified foreign company income from specified data centre services is exempt up to Tax Year 2046-47.



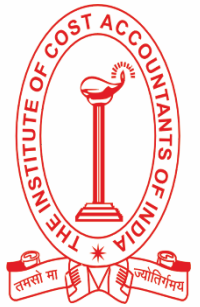
Condition

S.N 13C Conditions: The foreign company must not own or operate the physical infrastructure and sale to Indian users should be through an Indian reseller entity.

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Legacy Section 10 Exemptions



Legacy Exemptions | S.N 14

Schedule IV preserves certain legacy exemptions previously available under the Income-tax Act, 1961 for any eligible person.



Clause Coverage

Includes income falling under sections 10(6A), (6B), (6BB), (15A), and various sub-clauses of section 10(15).

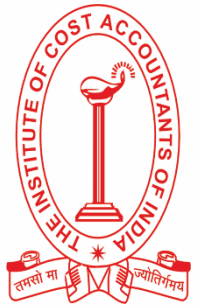


Adherence

These legacy exemptions remain subject to the specific conditions as outlined in their respective sections.

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Schedule V

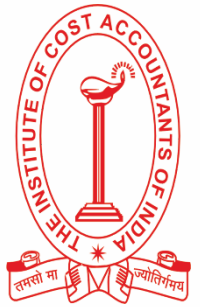
Investment funds & Business trusts

Exemptions

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Schedule V: Investment Funds & Unit Holders



S.N 1 (Investment Fund)

Any income other than the income under the head
"Profits and gains of business or profession" is fully
exempt for an investment fund.



S.N 2 (Unit Holder)

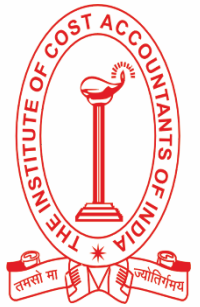
Any income referred to in sec. 224, accruing to a unit
holder of an investment fund.

This applies to the proportion of income of the same
nature as **"Profits and gains of business or
profession"**.

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Exemptions for Business Trusts & REITs



S.N 3 (Business Trust)

Any income by way of interest or dividend received from a special purpose vehicle (SPV) is exempt.



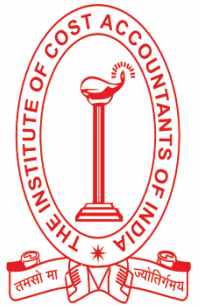
S.N 4 (REITs)

Any income by way of renting, leasing, or letting out any real estate asset owned directly by a real estate investment trust is excluded from total income.

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Trust Unit Holders & Venture Capital



S.N 5 (Trust Unit Holder)

Any distributed income referred to in sec. 223 received by any unit holder of a business trust is exempt.



S.N 5 (Exclusion Rule)

Exemption shall NOT be allowed on that proportion of the distributed income which is of the same nature as referred to in S.N. 3 & 4 (interest/dividend from SPV or direct rental income).



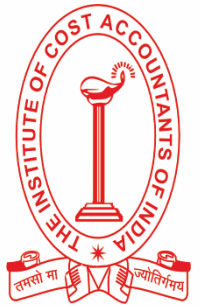
S.N 6 (Venture Capital)

Any income from investment in a venture capital undertaking is exempt for a venture capital company or fund (other than an investment fund specified in sec. 224(10)(a)).

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Specified Persons & Legacy Tax Exemptions



S.N 7 (Specified Person)

Exempts dividend, interest, sec. 92(2)(k) sums, or long-term capital gains arising from an investment made in India (debt, share capital, or unit), subject to conditions.



S.N 7 (Capital Gains Note)

The exemption for specified persons applies whether or not such long-term capital gains are deemed as short-term capital gains u/s 76.

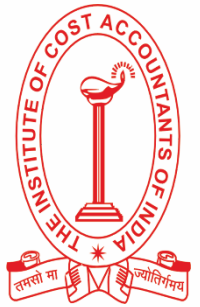


S.N 8 (Legacy Exemptions)

Any income falling under the specific clauses of 10(23F) and 10(23FA) of the Income-tax Act, 1961 remains exempt, subject to the conditions specified therein.

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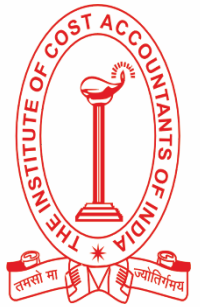
Schedule VI

IFSC Exemptions

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Exemptions for Specified Funds (Part 1)



S.N 1 (Capital Asset Transfer)

Income from transferring capital assets under sec. 70(1)(r) is exempt in hands of specified fund, provided the transfer occurs on a recognized stock exchange in an IFSC.



S.N 2 (Securities Transfer)

Income of specified fund excludes any income accruing, arising, or received from transferring securities, excepting shares in an Indian resident company.



S.N 3 (Non-Resident Securities)

Full exemption applies to income of specified fund from securities issued by a non-resident, as long as they aren't issued by an Indian permanent establishment.

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Specified Funds (Part 2) & Derivative Contracts



S.N 4 (Securitisation Trust)

Any income derived from a securitisation trust that is chargeable under "Profits and gains of business or profession" is excluded for specified funds.



S.N 5 (Offshore Derivatives)

Non-residents receive an exemption for income received or accrued from transferring non-deliverable forward contracts or offshore derivative instruments.



S.N 5 (Distribution Income)

The tax exemption extends to distributions made on offshore derivative instruments or over-the-counter derivatives for non-residents.



Aviation, Shipping & Portfolio Management Incomes



S.N 6 (Lease Rentals)

Income via royalty or interest arising on account of the lease of an aircraft or a ship during a tax year is exempt for non-residents.



S.N 7 (Portfolios)

Non-residents are exempt on income from portfolios of securities or financial products managed or administered by an IFSC portfolio manager.



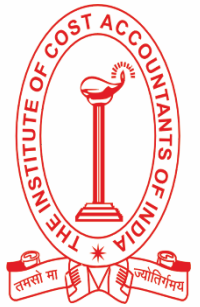
S.N 7 (Notified Activities)

The exemption applies to any similar portfolio management activity that may be notified by the Central Government.

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IFSC Equity Transfers & Unit Holders



S.N 8 (Domestic IFSC Units)

Capital gains from transferring equity shares of a domestic company are exempt if the company is an IFSC Unit under sec. 147 engaged primarily in aircraft/ship leasing.



S.N 9 (Unit Holder Relief)

Any income accruing, arising, or received from a specified fund, or upon the direct transfer of units in a specified fund, is exempt for the unit holder.



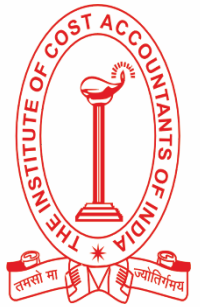
S.N 10 (Indian Company Shares)

Capital gains arising or received on account of the transfer of a share of a company resident in India are exempt for non-residents and specified funds.

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Corporate Dividends & Interest Outflows



S.N 11 (IFSC Lease Dividends)

Dividend income is exempt for an IFSC Unit if received from a company that is also an IFSC Unit primarily engaged in aircraft or ship leasing.

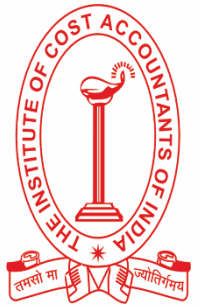


S.N 12 (Interest Payable)

Any income by way of interest payable by an IFSC Unit to a non-resident

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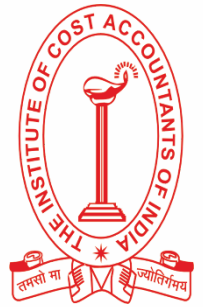
Schedule VII

Persons Exempt from Tax

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Military Welfare & Employee Benefit Funds



S.N. 1 | Regimental Funds

Any regimental or non-public fund established by the armed forces of the Union is exempt from tax.



S.N. 1 Condition | Welfare

This exemption is applicable provided the fund exists solely for the welfare of past and present armed forces members or their dependants.



S.N. 2 | Welfare Funds

Funds set up for employee welfare enjoy exemptions if income is applied wholly and exclusively to its designated objects.



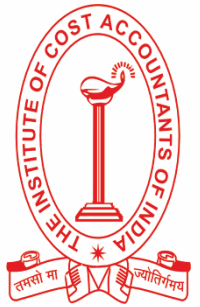
S.N. 2 Restrictions

Contributions must be invested in modes specified under sec. 350, with Commissioner approval limited to 3 tax years at a time.

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Pension Schemes & Khadi Boards



S.N. 3 | Insurer Pension Funds

Applies to any pension fund set up by the Life Insurance Corporation of India on or after 01-08-1996 or any other notified insurer.



S.N. 3 Conditions | Approval

Contributions must be intended for receiving pensions and the scheme must be approved by the Controller of Insurance or IRDA.



S.N. 4 | Khadi Boards

Tax exemption is granted to any authority or board established under a State or Provincial Act.



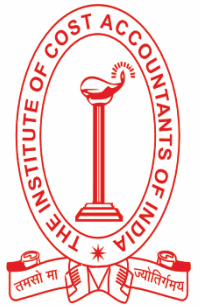
S.N. 4 Operational Scope

The board must exist exclusively for the development of khadi or village industries within that particular state.

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Statutory Religious & Charitable Administrators



S.N. 5 | Administrators

Covers any body or authority appointed under Central, State, or Provincial Acts for trust administration.



S.N. 5 Scope

Includes the administration of public religious or charitable trusts, temples, gurudwaras, wakfs, and churches.



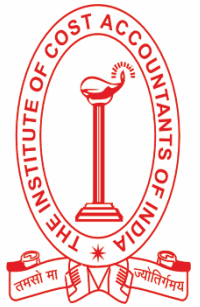
S.N. 5 Strict Exclusion

The exclusion from total income provided here shall not be available directly to the underlying trusts being administered.

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International Funds & Regulatory Commissions



S.N. 6 | SAARC Fund

Income generated by the SAARC Fund set up under the Colombo Declaration issued on 21-12-1991 is exempt.



S.N. 7 & 8 | Apex Bodies

Total income is exempt for the Insurance Regulatory and Development Authority (IRDA) and the Central Electricity Regulatory Commission.



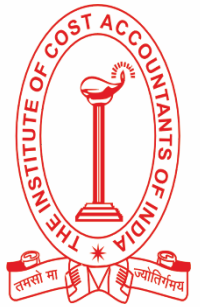
S.N. 9 | Prasar Bharati

The Broadcasting Corporation of India (Prasar Bharati) is fully exempt from tax liabilities on its consolidated corporate income.

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National Emergency Relief & Welfare Funds



S.N. 10 | Relief & CARES

Tax exemption is available to the Prime Minister's National Relief Fund and the PM CARES Fund.



S.N. 11 | Folk Art Fund

Income of the Prime Minister's Fund for the Promotion of Folk Art is exempt



S.N. 12 | Student Aid Fund

Exemption is available to the Prime Minister's Aid to Students Fund



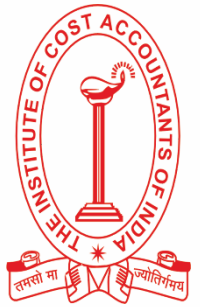
S.N. 13 | Communal Harmony

All incomes accruing to the National Foundation for Communal Harmony body are non-taxable.

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Public Sanitation, Environment & State Relief



S.N. 14 | Swachh Bharat Kosh

Income of the Swachh Bharat Kosh set up by the Central Government are exempt.



S.N. 15 | Clean Ganga Fund

Income accruing to the Clean Ganga Fund set up by the Central Government is exempt.



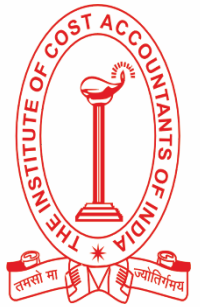
S.N. 16 | State Executive Relief

Covers the Chief Minister's Relief Fund and the Lieutenant Governor's Relief Fund

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Government Financed Educational Institutions



S.N. 17 | Financed Universities

Covers any university or educational institution substantially funded by Government grants.



S.N. 17 Condition | Non-Profit

The institution must exist for educational purposes and not for any purposes of commercial profit.



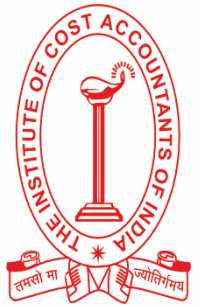
S.N. 17 Formula | Financing

The government grant must exceed the prescribed percentage of total receipts, including all donations received during the tax year.

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Government Financed Medical Institutions



S.N. 18 | Financed Hospitals

Applies to any hospital or medical institution receiving substantially financial backing from the Government.



S.N. 18 Objective | Treatment

Must exist for the reception and treatment of illness, mental defectiveness, convalescence, or medical rehabilitation.



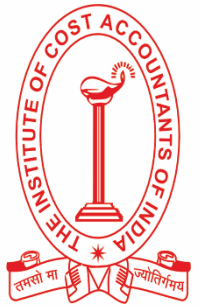
S.N. 18 Core Mandate

The institution is required to operate solely for philanthropic purposes and not for profit objectives.

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Small Scale Educational & Medical Limits



S.N. 19 | Private Bodies

Applies to universities, schools, hospitals, and philanthropic clinics not funded by government grants.



S.N. 19 Cap | 5 Crore Limit

The aggregate annual receipts of such institutions must not exceed ₹ 5 crore during the relevant tax year.



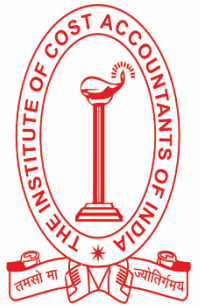
S.N. 19 Exception | Donations

If anonymous donations defined under sec. 355(a) are received, taxation provisions of sec. 337 apply mutatis mutandis.

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Mutual Funds & Registered Provident Funds



S.N. 20 | SEBI Mutual Funds

Income of any Mutual Fund registered under the SEBI Act, 1992 or its regulations is fully exempt.



S.N. 21 | Public Sector Funds

Includes mutual funds set up by public sector banks, public financial institutions, or authorized by the RBI.



S.N. 22 & 23 | Welfare Funds

Exemption to the incomes of a Recognised Provident Fund and an Approved Superannuation Fund.



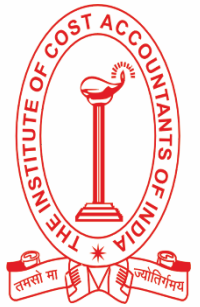
S.N. 24 | Approved Gratuity

Income of an approved gratuity fund is exempt.

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Specialized Statutory Insurance & State Funds



S.N. 25 | Coal Mines Insurance

Exempts the Deposit-linked Insurance Fund established u/s 3G of the Coal Mines Provident Funds Act, 1948.



S.N. 26 | Employees' Insurance

Exempts the Deposit-linked Insurance Fund established u/s 6C of the Employees' Provident Funds Act, 1952.



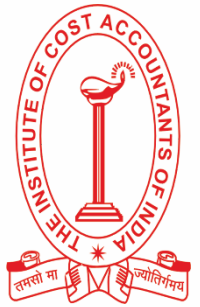
S.N. 27 | State Insurance Fund

Income of the ESI Fund set up under the Employees' State Insurance Act, 1948 is exempt.

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Agricultural Marketing & Minorities Corporations



S.N. 28 | Market Committees

Exempts boards or committees constituted under law for regulating the marketing of agricultural produce.



S.N. 29 & 30 | Minority Welfare

Corporations established by Central/State Governments for promoting the interests of SC, ST, or minorities are exempt.



S.N. 31 | Ex-Servicemen

Exempts any corporation established by law for the welfare and economic upliftment of Indian citizens who are ex-servicemen.



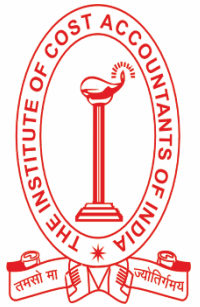
S.N. 32 | Co-op Societies Limit

For SC/ST co-operative societies, membership must consist only of other similar societies and finances must be provided by Government.

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Statutory Commodity Boards & NPS Trust



S.N. 33 to 40 | Commodity Boards

Income is exempt for the Coffee Board, Rubber Board, Tea Board, Tobacco Board, and Spices Board.



S.N. 37 & 38 | Export Authorities

Includes the Marine Products Export Development Authority and the Agricultural and Processed Food Products Export Authority.



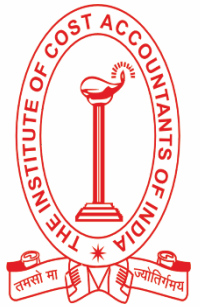
S.N. 40 & 41 | NPS Trust

Provides exemption to the Coir Board and New Pension System Trust.

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Housing, Debt & Developmental Financing



S.N. 42 to 45 | Credit Guarantees

Exempts public development boards, National Credit Guarantee Trustee Co., wholly financed credit guarantee funds, and the Micro Enterprises Trust.



S.N. 46 | Infrastructure Debt

Income is exempt if the fund is set up in accordance with the specific guidelines notified by the Central Government.



S.N. 47 & 48 | Financing & DFI

Institutions set up under an Act of Parliament enjoy a 10 tax year exemption, and RBI-licensed DFIs receive a consecutive 5-year exemption.

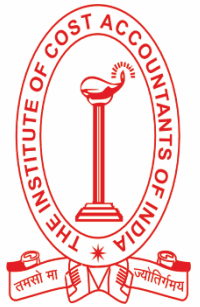


S.N. 49 | New Development Bank

Fully exempt from tax liabilities, subject to the routine formatting and furnishing of prescribed regular information.

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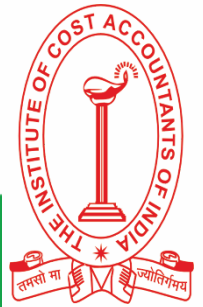
Schedule VIII

Tax Exemptions for Political Parties

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Political Party: Exemption & Compliance



Eligible Incomes

Income under House Property, Capital Gains, Other Sources, and Voluntary Contributions is exempt



Bookkeeping

Must maintain books of account and keep records of names/addresses for voluntary contributions exceeding ₹ 20,000.



Audit & Reporting

Accounts must be audited by an accountant, and the treasurer must submit the statutory report u/s 29C(3) of the RPA.



Cash Donation Cap

Any donation exceeding ₹ 2,000 should not be received otherwise than through account payee cheque or electronic modes.



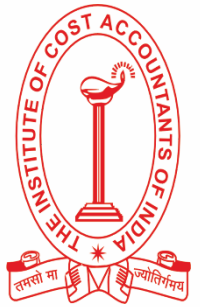
Return Filing Due Date

The party must furnish its return of income on or before the due date.

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Tax Exemptions for Electoral Trusts



Voluntary Contributions

Any voluntary contributions received by an electoral trust are not taxable, subject to fulfillment of conditions.



The 95% Rule

The trust is required to distribute 95% of aggregate donations plus opening surplus to registered parties within that tax year.



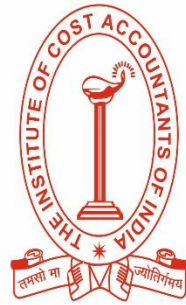
Regulatory Functions

The electoral trust must function in as per the rules prescribed by the Central Government.

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Thank You



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भारतीय लागत लेखाकार संस्थान

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